Private Provident Fund



Bhutan Insurance Ltd started the Private Provident Fund scheme in 2010 as approved by the RMA vide their letter No. RMA/FISD/18/2009-2010/8891. The scheme is now applicable to the private and other agencies with effect from 24th May, 2010 as per the approval of the RMA. PPF is a mandatory, tax-qualified, defined, contribution retrial benefit plan wherein equal contribution at the specified rate is made by the employer and the employee and the same is payable in lump sum on retirement.

Any enterprise or organization employing an employee is eligible for PPF Scheme. However, an enterprise employing 10 or more employees under the lab our and employment Act, 2007 are compulsory to enter into PPF scheme.

Benefits

1. Risk free return of 7% p.a
2. Employee retention
3. PF loan(95% on the accumulated contribution)
4. Tax benefit at the time of PIT
5. Better Fund Management
6. Tax free income at the time of lump sum withdrawal
7. Door to Door Services (Like Collecting monthly contribution & other information regarding Provident Fund)

Rules and regulation

1. The employer and employee shall each contribute minimum of 5% of an employee's monthly basic wage to the credit of an employee's provident fund account.
2. Contribution in PPF fund having no upper limit
3. Flexibility to distribute the fund among nominee
4. The PPF amount should be deducted and send within 15th of the following month of salary
5. Penal interest @1%
6. Interest will be calculated daily product basis.
7. Employer has to intimate BIL regarding any discontinuation of every individual PPF account.
8. Discontinuation or irregularity of more than three month will automatically close the existing PPF account and BIL will do the settlement according to the prescribed guidelines.

Refund

- On retirement from service after attaining the retirement age.
- On retirement on account of permanent and total incapacity for work due to bodily or
- Mental infirmity, duly certified by the Medical Officer of the employers or, where the employer has no regular Medical Officer, by registered medical practitioner designated by the employers
- On retrenchment from service by the employer, voluntary retirement under reorganization or closure
- On termination of service by the employer on disciplinary ground
- On resignation by the employee.

Thank you